

IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(SPECIAL ORIGINAL JURISDICTION)

Present

Mr. Justice Muhammad Khurshid Alam Sarkar

And

Mr. Justice Sardar Md. Rashed Jahangir

Writ Petition No. 3217 of 2010

In the matter of:

An application under article 102(2)(a)(i) and (ii)
of the Constitution of the People's Republic of
Bangladesh.

And

In the matter of :

National Polymer Industries Limited
.... Petitioner

-Versus-

Customs, Excise and VAT Appellate Tribunal,
Dhaka and others

.... Respondents

Mr. Munshi Moniruzzaman, Advocate

.... For the Petitioner

Mr. Kazi Mynul Hassan, D.A.G with

Mr. Md. Humayun Kabir, A.A.G

.... For the respondents

Heard and Judgment on: 27.03.2023

Sardar Md. Rashed Jahangir, J:

Rule Nisi was issued on an application under article 102 of the
Constitution of the People's Republic of Bangladesh calling upon the
respondents to show cause as to why the Order dated 22.03.2010 passed by
the respondent no.1 under Nothi No. CEVT/CASE (VAT)-262/2009/

149 (1-6) dated 12.04.2010 (Annexure-‘E-1’) dismissing the appeal for default and affirming the Order No. 22/Musak/09 dated 23.06.2009 passed by respondent No.2 (Annexure-‘C’) should not be declared to have been passed without lawful authority and is of no legal effect and/or pass such other or further order or orders as to this Court may seem fit and proper.

The petitioner-company is engaged in the business of manufacturing PVC Pipe and Fittings and for the purpose of paying VAT, in course of said business, it has been duly registered with the concerned VAT authority. After manufacturing its product the company supplies/sells those in the local market on payment of appropriate VAT to the Government. Respondent No.2, Commissioner, Large Taxpayer Unit (LTU), Customs, Excise and VAT, Dhaka issued a show cause notice upon the petitioner on 16.04.2009 stating that an audit team of the Customs, Excise and VAT Commissionerate, LTU, Dhaka after auditing the business transaction of the petitioner company submitted a report; in the said report allegation was brought that the petitioner failed to comply the requirements of Rule 31(Ka) of the Value Added Tax Rules, 1991, while supplying goods at zero rate to the United Nations Children Fund (UNICEF) and in different other manner petitioner has evaded VAT intotal of Tk. 51,23,751.50; the petitioner was asked to give reply as to why the said amount of money will not be realized from him. The petitioner replied to the said show cause notice on 21.05.2009 denying the allegations brought

against it; in the said reply it was further stated that in the meantime the petitioner deposited an amount of Tk. 5,88,527.00 as 'Trade VAT' and the allegations of evasion of VAT is absolutely based on presumption and has no legal basis.

The respondent No.2 passed an order on 23.06.2009 without considering the submission of the petitioner and without addressing the issues taken by it in the said reply, failing to appreciate the submissions made by the petitioner and thereby most illegally demanded amount of Tk.45,35,224.51 from the petitioner as VAT.

Being aggrieved by the aforesaid final demand, petitioner preferred an appeal under section 42 of the VAT Act, 1991 before respondent no.1, Customs, Excise and VAT Appellate Tribunal, Dhaka and the Tribunal by its order dated 22.03.2010 dismissed the appeal for default, due to non-appearance of the appellant.

Challenging the order dated 22.03.2010 of respondent no.1, petitioner moved before this Court and obtained the Rule Nisi.

Mr. Munshi Moniruzzaman, learned Advocate for the petitioner submits that the impugned order of the Tribunal is ex-facie illegal, because, section 196B of the Customs Act, 1969 does not provide any such authority to the Tribunal to dismiss an appeal for default, on the ground of

non-appearance of appellant, rather the appeal arising out of the final demand is to be adjudicated on merit of the case.

On the other hand Mr. Kazi Mynul Hassan, learned Deputy Attorney General contested the Rule by making oral submission and prayed for discharging the same.

Heard learned Advocate for the petitioner and learned Deputy Attorney General for respondent no.2, perused the writ petition alongwith the annexures appended thereto.

Admittedly on being aggrieved by the order dated 23.06.2009 of respondent no.2 petitioner preferred an appeal before the respondent no.1 under section 42 of the VAT Act, 1991, relevant provisions of said section 42 runs as follows:

“৪২। আপিল।-(১) যেকোনো মূল্য সংযোজন কর কর্মকর্তা বা যেকোনো ব্যক্তি কোনো মূল্য সংযোজন কর কর্মকর্তার এই আইন বা কোনো বিধির অধীন প্রদত্ত কোনো সিদ্ধান্ত বা আদেশ দ্বারা সংক্ষুদ্ধ হইলে তিনি উক্ত সিদ্ধান্ত বা আদেশের বিরুদ্ধে, পণ্যের সরবরাহ বা প্রদত্ত সেবার ক্ষেত্রে ধারা ৫৬ এর অধীন প্রদত্ত কোনো আটক বা বিক্রয় আদেশ অথবা পণ্য আমদানির ক্ষেত্রে Customs Act, এর section 82 বা section 98 এর অধীন কোনো আদেশ ব্যতীত, উক্ত সিদ্ধান্ত বা আদেশ প্রদান-নর বা ক্ষেত্রমত, আদেশ জারির নব্বই দি-নর ম-ধ্য,

(ক) উক্ত সিদ্ধান্ত বা আদেশ অতিরিক্ত কমিশনার বা তন্নিয়ের কোনো মূল্য সং-যোজন কর কর্মকর্তা কর্তৃক প্রদত্ত হইয়া থাকিলে, কমিশনার (আপিল) এর নিকট;

(খ) উক্ত সিদ্ধান্ত বা আদেশ কমিশনার, কমিশনার (আপিল) বা তাঁহার সমমর্যাদার কোনো মূল্য সংযোজন কর কর্মকর্তা কর্তৃক প্রদত্ত হইয়া থাকিলে, *Customs Act*, এর Section 196-এর অধীন গঠিত *Customs, Excise and মূল্য সং-যাজন কর Appellate Tribunal*, অতঃপর *Appellate Tribunal*, বলিয়া উল্লিখিত, এর নিকট; এবং

(গ) উক্ত সিদ্ধান্ত বা আদেশ *Appellate Tribunal* কর্তৃক প্রদত্ত হইয়া থাকিলে, বাংলা-দশ সুপ্রিম -কা-র্টর হাই-কার্ট বিভা-গর নিকট;

আপিল করি-ত পারি-বন।

(১ক) উপ-ধারা (১) এর অধীন আপিল গ্রহ-ণর পর,

(খ) আপিলটি *Appellate Tribunal* এর নিকট হই-ল *Appellate Tribunal*, এই আই-ন যাহা কিছুই থাকুক না কেন, যতদূর সম্ভব, *Customs Act* এর উক্ত *Tribunal* সংক্রান্ত বিধানবলি অনুযায়ী আপলটির নিষ্পত্তি করিবে ।
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(underlined has been given emphasis)

And the provisions of section 196B of the Customs Act, 1969 provides the detail manner in which the appeal is to be disposed of by the Appellate Tribunal.

At this juncture, main question in the case in hand is, whether the Tribunal has authority under section 196B of the Customs Act, 1969 to dismiss an appeal for default on the ground of non-appearance.

Earlier identical question of law was raised before this Division in Writ Petition No. 8240 of 2007 and this Division (one of us was party to the judgment) after elaborate discussions and upon examination of the provisions of section 196B of the Customs Act, 1969 held that :

“It appears from the above provision that the jurisdiction and the manner of exercise of such jurisdiction of the Tribunal have been enumerated in specific terms. On reading the aforesaid provision of law it is clear that the statute has given power to the Appellate Tribunal to confirm, modify, annul the decision or orders appealed against and or to refer the case back to the authority on remand which has passed such decision or orders with such directions as the tribunal may think fit for a fresh adjudication or decision as the case may be after taking additional evidence if necessary.

Since the Tribunal may only pass orders under section 196B and cannot pass any other order once the appeal is a competent one in view of section 194 of the said Act, the order dismissing the said appeal for default on account of the absence of the appellant or his representative will be an order without jurisdiction as has already been held by this court in Writ Petition No. 3859 of 2008 (Selim Mohammad -Vs-The

Appellate Tribunal and others). Thus, such order dismissing the said appeal for default cannot be an order under section 196B and there is no scope under the aforesaid provision of law to dismiss the appeal for default.”

Contemplation of the provisions of section 196B of the Customs Act is that the Customs, Excise and VAT Appellate Tribunal is to dispose of the appeal by passing such order or orders as it thinks fit considering merit of the case, confirming, modifying or annulling the decision or order appealed against.

In the facts and circumstances of the present case, we do not find any reason to depart from the principle settled in earlier cases and in view of above we find merit in the Rule.

Accordingly, the Rule is made absolute without any order as to cost.

The order dated 22.03.2010 passed by the respondent no.1 under Nothi No. CEVT/CASE (VAT)-262/2009/149(1-6) dated 12.04.2010 (Annexure-‘E-1’) dismissing the appeal for default is hereby set aside.

The respondent no.1, Customs, Excise and VAT Appellate Tribunal, Dhaka is hereby directed to hear and dispose of the appeal under Nothi No. CEVT/Case(VAT)-262/2009/149 on merit within 2(two) months from date of receipt of this judgment and order, upon affording an opportunity of hearing to the petitioner and if the petitioner fails to appear

before the Tribunal, then the Tribunal is at liberty to dispose of the appeal on merit within the aforementioned period, even in absence of the petitioner.

Communicate the judgment at once.

Muhammad Khurshid Alam Sarkar, J:

I agree.